UNIT V SERVICE BUSINESS - III

CHAPTER 18 BUSINESS ETHICS AND CORPORATE GOVERNANCE

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Couplet:
To discern the truth in everything, by whomsoever spoken, is wisdom.

Learning Objectives

To enable the students to

i. have better understanding of the concept of business ethics
ii. identify the Key elements of business ethics
iii. know the code of business ethics
iv. understand the Corporate Governance and International Benchmarks and MNC's in India

In this chapter the important concept of business ethics is discussed briefly. Business ethics is vital for the running of all organisations both in the short and the long run. The Code of Conduct of business units are clearly defined and executed in terms of transparency through corporate Governance. The role of MNCs in the development of the economy is explained along with the features. The need for international benchmarking is also highlighted.

18.01 Concept of Business Ethics

'Business houses need to go beyond the interests of their companies to the communities they serve.'

Ratan Tata, Former Chairman of the Tata group

'A business that is in the making of only money is a poor kind of business.'

Hendry Ford, Founder of Ford Motor Corporation.

Ethics is derived from the Greek word 'ethos' which means a person's fundamental orientation towards life. It governs the behaviour, derived from the moral standards which help to determine right or wrong, good or evil. Ethical behaviour is the acts consistent with the moral standards or codes of conduct established by society. It may change over time and differ from culture to culture. For example, political bribes or payoffs may be acceptable in one culture but not in other. Ethical issues are inevitable in business.

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